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Shenzhen Senior Technology Material (300568.SZ)

Takeaways from 1H26 Results Call

CITI'S TAKE

Senior Technology held its 1H26 results call on Aug 28th. Management remains constructive on the separator cycle, expecting supply to stay tight through 2026–27 as demand growth could reach ~40%+ in 2026 while meaningful new capacity is unlikely before 2H27. The company has implemented 2–3 rounds of price increases YTD, with wet-process separator unit profit recovering to ~Rmb0.16/sqm in 2Q26 and management expecting >Rmb0.20/sqm by late-3Q/4Q26. Overseas remains the key earnings driver, with Malaysia shipment targeted at ~1.0–1.1bn sqm in 2027 and overseas customers' profit contribution targeted to increase from ~40% currently to >70% in two years. Management also highlighted accelerated n opportunities for Bangci's piezoelectric ceramics in MFC and lithium-battery coating applications.

Separator pricing – Mgmt. remains constructive on separator pricing as industry supply tightens. The company has implemented 2–3 rounds of price increases with selected customers YTD and is still negotiating further price hikes and better commercial terms in 3Q26. Coated-separator revenue per sqm increased from ~Rmb0.95 in 4Q25 to Rmb1.0+ in 1Q26 and ~Rmb1.2 in 2Q26.

Unit profitability – Wet-process separator unit profit recovered to ~Rmb0.16/sqm in 2Q26. Mgmt. expects further price increases in 3Q26 and believes unit profit could exceed Rmb0.20/sqm by late-3Q/4Q26, assuming another >5% pricing improvement. Dry-process remained slightly loss-making in 2Q26.

Industry supply-demand – Mgmt. estimates 2026 separator demand growth could reach ~40%+, materially above its prior assumption that >20% growth would already tighten supply. It expects effective new capacity additions to remain limited before 2H27/end-2027, as equipment procurement and ramp-up are progressing slower than announced expansion plans. Mgmt. therefore expects tight supply conditions to persist through 2026–27.

Malaysia expansion – Two lines with ~0.5bn sqm capacity have already been commissioned. The remaining four lines, previously planned for 1H27, may be brought forward to 4Q26 due to strong overseas demand. Mgmt. targets ~1.0–1.1bn sqm shipment from Malaysia in 2027 and 1.5–1.6bn sqm at full utilization in 2028.

Buy

Price (27 Aug 26 15:00)	Rmb15.530
Target price	Rmb20.500
Expected share price return	32.0%
Expected dividend yield	1.1%
Expected total return	33.1%
Market Cap	Rmb21,930M
	US\$3,263M

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Overseas profitability – Overseas customers are mainly supplied with coated separators and carry materially higher profitability. Overseas profit contribution is currently ~40%, while mgmt. targets >70% of group profit contribution in two years. For the Malaysia plant, mgmt. targets >Rmb0.5/sqm unit profit during the 2027 ramp-up and US\$0.10+/sqm after full ramp-up.

Dry-process separator – Mgmt. expects storage demand to support higher utilization of dry-process capacity. The strategy is to lift utilization and move the business from a profit drag to a positive contributor, although mgmt. does not expect dry-process separators to become a major group earnings driver; future profit growth should mainly come from overseas capacity and customers.

Piezoelectric ceramics / MFC – Mgmt. sees a strong import-substitution window as global MFC and piezoelectric-ceramic supply remains tight. Several customers have repeatedly visited Bangci to verify production capacity, and mgmt. said demand indications are supported by actual downstream shortages rather than being purely framework orders. Current customer testing may deliver further validation results around Sep–Oct 2026.

Piezoelectric downstream expansion – Beyond MFC, mgmt. highlighted lithium-battery coating, insulin pumps and optical systems as new applications. It estimates piezoelectric coating can save ~Rmb2mn/year per coating machine, with ~Rmb0.2mn piezoelectric-ceramic content per 1GWh of battery capacity; management sees the lithium-battery coating market alone approaching Rmb1bn over time.

Shenzhen Senior Technology Material

Valuation

We value Senior Technology at Rmb20.5/share based on 20.3x 2026E EV/EBITDA, in line with the historical average since listing to reflect the recent price hike efforts and better-than-expected ESS demand in the battery space. Our target price implies 43.4x 2026E P/E and 28.8x 2027E P/E.

Risks

Our quant system rates the Senior Technology stock as High Risk. However, given its operating resilience and relatively stable financial position, a High Risk rating is not applied. Downside risks that could prevent the share price from reaching our target price include: 1) worse-than-expected competition for equipment; 2) weaker-than-expected battery demand (especially for ESS); 3) higher-than-expected raw material costs, and (4) longer capex cycle for the separator sector.

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Material (300568.SZ)
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Fundamental Research

Analyst: Anna Wang



	Date	Rating	Target Price	Closing Price
1	16-Jan-24 22:32:02	1H	*19.30	14.07
2	22-Feb-24 05:35:55	1H	*18.20	12.08
3	25-Apr-24 10:59:43	1H	*12.80	9.80

*Indicates Change

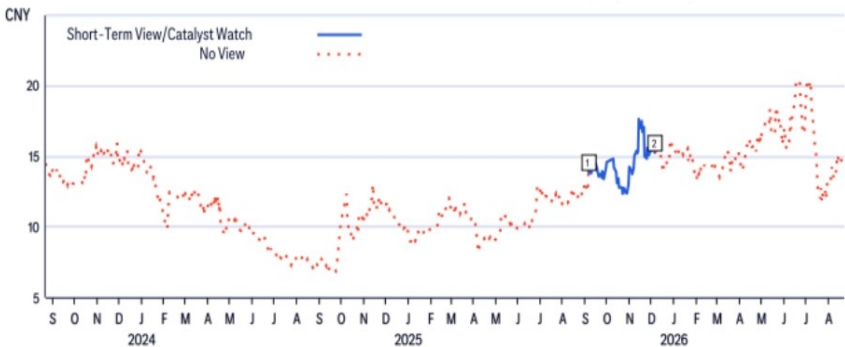
	Date	Rating	Target Price	Closing Price
4	07-Oct-24 09:38:25	*2H	*10.50	10.29
5	20-Aug-25 23:54:46	*3	*9.90	12.43
6	18-Nov-25 00:45:56	*1	*22.60	16.75

	Date	Rating	Target Price	Closing Price
7	05-Jun-26 04:50:37	1	*20.50	15.50

Rating/target price changes above reflect Eastern Time

Shenzhen Senior Technology
Material (300568.SZ)
Short-Term View/Catalyst Watch Research

Analyst: Anna Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	07-Sep-25 07:40:56	Add CW	Upside	90 Days	13.91

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
2	05-Dec-25 12:04:48	Remove CW	Upside	90 Days	15.26

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